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THIRD REVIEW UNDER THE EXTENDED CREDIT FACILITY ARRANGEMENT AND REQUESTS FOR AUGMENTATION OF ACCESS, WAIVER OF NONOBSERVANCE OF PERFORMANCE CRITERIA, MODIFICATION OF A PERFORMANCE CRITERION, AND FINANCING ASSURANCES REVIEW—DEBT SUSTAINABILITY ANALYSIS

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Prepared jointly by the Staffs of the International Monetary Fund and the International Development Association [1, 2]

Guinea-Bissau: Joint Bank-Fund Staff Debt Sustainability Analysis	
Risk of external debt distress	*High*[3]
Overall risk of debt distress	*High*
Granularity in the risk rating	*Sustainable*
Application of judgment	*No*

Guinea-Bissau's risks of external and overall debt distress remain high, as in the January 2023 Debt Sustainability Analysis (DSA). The present value (PV) of public and publicly guaranteed (PPG) debt relative to GDP exhibits a prolonged and substantial breach of its indicative benchmark while there are also significant breaches of the thresholds for the PV of external debt-to exports and external debt service-to-exports ratios. However, considering that (i) the country benefits from WAEMU currency union safeguards that provide for financial and technical support from the regional debt market institutions and larger regional members with strong debt carrying capacity; (ii) the PV of public debt

[1] The previous DSA was dated January 13, 2023 (IMF Country Report No. 22/87) and accompanied the Request for a Three-Year Arrangement under the Extended Credit Facility (ECF).

[2] The DSA compares the evolution of debt-burden indicators against thresholds and benchmarks pre-determined by the country's debt-carrying capacity. Guinea-Bissau's Composite Indicator (CI) index, based on October 2023 WEO update and the World Bank's 2022 World Bank's Country Policy and Institutional Assessment (CPIA), indicates that the country's debt carrying capacity remains weak (Para.15).

[3] This DSA follows the Guidance Note of the Join Bank-Fund Debt Sustainability Framework for Low Income Countries, February 2018.

shows a consistent downward trend from 2023 onwards under the baseline scenario; and (iii) the external DSA indicators are trending downwards consistent with sustainability over the medium-term, public debt is assessed as sustainable with high risk of debt distress

This conclusion is contingent on the authorities' continued commitment to an ambitious, yet feasible, fiscal adjustment that aims to bring the fiscal deficit within the 3 percent of GDP WAEMU convergence criterion by 2025. This fiscal adjustment is supported by the Extended Credit Facility (ECF) arrangement. Risks include an adverse political scenario, limited capacity, weaker cashew nut exports, tighter global and regional financial conditions, higher global food and oil prices, and climate change-related natural disasters. Financial stress in state-owned enterprises and high NPLs could generate contingent liabilities and pose macro financial risks. The downward trend of the baseline debt indicators would further improve with full multilateral donor re-engagement and a further shift towards debt obligations on concessional terms. The authorities are also following IMF/WB advice on improving debt management and dedicating efforts to resolve legacy external arrears.

DEBT COVERAGE

1. The perimeter of public debt is limited to the central government, the central bank and government-guaranteed debt.[4] Data limitations preclude the inclusion of other units of general government and state-owned enterprises (SOEs) (Text Table 1). The main source of risk from SOEs comes from the electricity and water utility *Eletricidade e Águas da Guiné-Bissau* (EAGB),[5] which has guaranteed debt included in the DSA and its non-publicly guaranteed debts, estimated at 1.2 percent of GDP in 2022, included in the contingent liabilities shock.[6] Beyond EAGB, other SOEs have relatively small non-guaranteed debt, based on the limited available information, and are not expected to represent a significant contingent liability.

2. Debt classification follows a hybrid approach in which debt to the West African Bank for Development (*Banque Ouest Africaine de Développement* or BOAD) is classified as external and

[4] Debt management was strengthened after the approval by the Council of Ministers in July 2021 of decrees related to the creation of a National Committee of Debt Policy and the organization and functioning of the Debt Directorate. The authorities use the Debt Management and Financial Analysis system (DMFAS) to record external debt and seek to start incorporating domestic debt into the system. The first annual debt bulletin was published in 2021, followed by an improved version in 2022 and 2023, which will partially cover debt held by SOEs. Additionally, the World Bank carried out a Debt Management Performance Assessment (DeMPA) in 2021 that identified needed reforms to further strengthen debt management, with technical assistance ongoing in this area. Guinea-Bissau continues to receive technical assistance from the IMF and the World Bank to improve debt reporting to the International Debt Statistics (IDS) and the Quarterly External Debt Statistics (QEDS). Technical assistance from the IMF's Statistics Department occurred in 2023 providing support to expand data coverage and improve public debt data according to international guidance.

[5] Government clearance of EAGB debt amounted to CFAF 6.6 billion in 2017, CFAF 2.5 billion in 2018, CFAF 5.9 billion in 2019, CFAF 3.6 billion in 2020, and CFAF 5.2 billion in 2023. Also, the government guaranteed loans to EAGB with a total value of CFAF 5.6 billion in 2020 and CFAF 7.4 billion in 2021 as part of debt service restructuring agreements with local commercial banks. In 2022, guarantees increased to CFAF 15.0 billion. These guarantees are included in the DSA.

[6] Non-guaranteed debt of EAGB in 2022 was predominantly composed of unpaid invoices owed to the power supplier (Karpower). With EAGB's increased revenue and the government's implementation of the repayment plan, this amount will be significantly reduced in early 2024. The remainder of EAGB's balance sheet includes only non-debt liabilities such as taxes and social security arrears and legacy Treasury on-lending, which are consolidated out for DSA purposes. The exclusion of these explains the reduction in the stock of non-publicly guaranteed debt vis-à-vis the January 2023 DSA.

bonds issued in the regional market are classified as domestic. The debt denominated in *Communauté Financière Africaine* francs (CFAF) to BOAD, amounting to 11.9 percent of GDP at end-2022, is classified as external whereas the remaining debt sources follow a currency-based classification. Treasury securities issued in CFA francs in the regional market remain treated as domestic for the purpose of this DSA.[7] The stock of such treasury securities (held by both local and regional banks) at end-2022 was CFAF 251.4 billion, equivalent to 57 percent of domestic debt or 23.5 percent of GDP.

Text Table 1. Guinea-Bissau: Public Debt Coverage Under the Baseline Scenario

Subsectors of the public sector	Sub-sectors covered
Central government	X
State and local government	
Other elements in the general government	
o/w: Social security fund	
o/w: Extra budgetary funds (EBFs)	
Guarantees (to other entities in the public and private sector, including to SOEs)	X
Central bank (borrowed on behalf of the government)	X
Non-guaranteed SOE debt	

3. The authorities are seeking long-term technical assistance from international partners to improve their capacity for debt recording, monitoring, and overall debt management. The World Bank, through the Performance and Policy Actions (PPAs) under the International Development Association's (IDA) Sustainable Development Finance Policy (SDFP), is supporting authorities with the publication and expansion of the debt bulletin (in FY23) and providing technical assistance on debt management following the Debt Management Performance Assessment (DeMPA) carried out in 2021.[8] Additionally, the Word Bank is supporting EAGB on implementing a Management Improvement Plan and a financial restructuring plan. Both plans have yielded a more accurate assessment of the utility's stock of debt by end-2022. The Statistics Department of the IMF undertook two technical assistance missions during 2022–23 to support the authorities to improve debt recording and data coverage expansion.

BACKGROUND

4. Guinea-Bissau's public debt rose to 80.4 percent of GDP in 2022. The ratio of public debt to GDP increased by an estimated 1.6 percentage points with respect to 2021. This increase was observed in the domestic debt side and is mostly explained by a higher-than-projected overall fiscal deficit, new government guarantees to the public utility company (EAGB) and recognition of legacy arrears. External debt declined in 2022 due to better control of non-concessional borrowing, grant financing from the World Bank and other multilateral creditors as a high risk of debt distress country, lower project loans disbursements and reliance on financing from the domestic regional market. BOAD and the World Bank are the main lenders of Guinea-Bissau's external debt (Text Table 2). On the domestic side, government financing has relied on the regional treasury market (Text Table 2 and Debt Holder Profile Table in Annex

[7] In 2022, local banks held 8.4 percent of outstanding domestic debt issued in the regional market.

[8] The planned FY24 PPAs will support the authorities' efforts to improve debt management, including through the preparation and publication of a Medium-Term Debt Strategy.

1). Part of the resources raised on the regional market allowed for the payment of domestic arrears. The stock of debt also reflects the authorities' efforts to resolve legacy external arrears following advice from the IMF and the World Bank.

Text Table 2. Guinea-Bissau: Total Public Debt

	2020 Act.	2021 Act.	2022 Act.	2023 Proj.	2020 Act.	2021 Act.	2022 Act.	2023 Proj.
	(Billions of CFAF)				*(Percent of GDP)*			
Central Government Debt	**680.4**	**753.6**	**859.2**	**913.2**	**77.7**	**78.8**	**80.4**	**76.5**
External	**360.1**	**385.4**	**419.0**	**416.7**	**41.1**	**40.3**	**39.2**	**34.9**
Multilateral	282.7	306.0	335.6	337.7	32.3	32.0	31.4	28.3
IMF	15.7	26.4	25.1	32.1	1.8	2.8	2.3	2.7
IDA	78.0	100.4	118.0	119.1	8.9	10.5	11.0	10.0
BOAD	138.6	122.0	127.4	118.2	15.8	12.8	11.9	9.9
AfDB	22.5	27.7	33.4	36.2	2.6	2.9	3.1	3.0
Others (IDB, BADEA, IFAD, etc)	27.8	29.5	31.8	32.2	3.2	3.1	3.0	2.7
Bilateral	77.4	79.4	83.4	79.0	8.8	8.3	7.8	6.6
of which Legacy Arrears [1]	29.5	3.3	3.5	3.4	3.4	0.3	0.3	0.3
Paris Club	8.3	5.9	6.1	5.6	1.0	0.6	0.6	0.5
Non-Paris Club [2]	69.1	73.5	77.3	73.4	7.9	7.7	7.2	6.1
Domestic	**320.4**	**368.2**	**440.2**	**496.4**	**36.6**	**38.5**	**41.2**	**41.6**
Local Banking System	162.8	156.7	177.8	177.3	18.6	16.4	16.6	14.8
BCEAO	109.5	130.5	130.0	129.4	12.5	13.6	12.2	10.8
Loans local commercial banks	33.2	12.0	26.6	26.6	3.8	1.3	2.5	2.2
Treasury Securities held by local banks	20.2	14.2	21.2	21.2	2.3	1.5	2.0	1.8
Treasury Securities held by regional banks	119.9	179.2	230.2	288.0	13.7	18.7	21.5	24.1
Payment Arrears	27.1	18.9	12.2	11.2	3.1	2.0	1.1	0.9
Guarantees	10.6	13.5	20.0	20.0	1.2	1.4	1.9	1.7

Sources: Guinea-Bissau's authorities and IMF Staff estimates and projections.

[1] Legacy Arrears are due to Brazil, Russia as well as Pakistan.

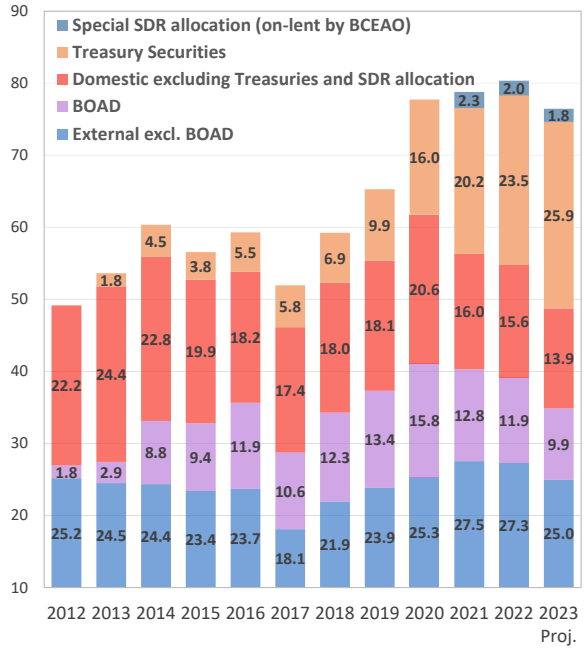
[2] Non-Paris Club: Angola, Exim Bank of India, Kuwait, Libya, Pakistan, Saudi Fund, Exim Bank of Taiwan Province of China.

5. The special SDR allocation contributed to lower financing costs and closed the 2021 financing gap associated with the emergency response to the pandemic. In line with the WAEMU agreement, the BCEAO on-lent the counterpart of the SDR allocation.[9] Despite being treated as domestic debt, the DSA calculates the present value of the loan to incorporate its highly concessional nature, which reduces its initial impact on the DSA's assessment of the overall risk of

[9] The end-August SDR 27.2 million allocation was transferred by the BCEAO, as a currency repo operation of CFAF 21.6 billion (2.3 percent of GDP) with 20-year maturity and a single bullet payment at end-period. With an interest rate fixed at 0.05 percent, this operation is equivalent to a loan with a grant element of 62 percent. At maturity, this operation could be renewed for 20-years at an interest rate linked to SDR interest rate.

debt distress.[10] The concessional terms of the on-lending operation provided an alternative to more costly financing such as contracting non-concessional debt and issuing Treasury bills in the WAEMU regional market. The authorities used most of those resources to pre-pay non-concessional debt to BOAD, due at end-2021 and in 2022.[11] The remaining amount financed part of the emergency response to the pandemic.

Public Debt Stock
(Percent of GDP)



Sources: Guinea-Bissau authorities and IMF staff calculations.

6. Financing needs were mainly covered by higher reliance on the regional market in 2022 (Text Table 2). Central government domestic debt amounted to 41.2 percent of GDP at end-2022. The largest source of net borrowing was Treasury securities, the stock of which rose by 3.3 percentage points of GDP between 2021 and 2022, with the bulk purchased by local commercial banks and financial institutions from elsewhere in the WAEMU region.

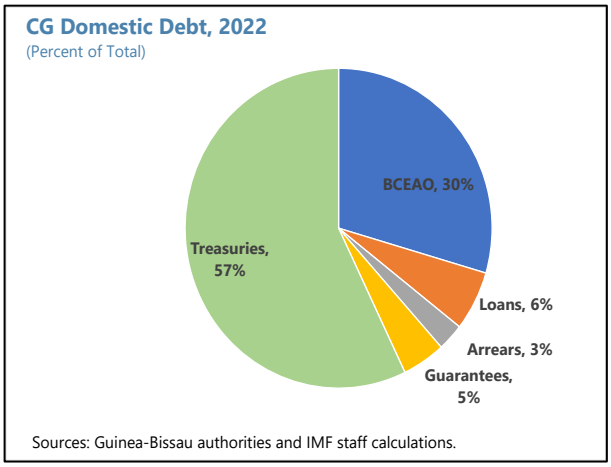
7. External borrowing declined in 2022 with the pre-payment of non-concessional debt to BOAD, improved control on non-concessional external borrowing and lower project loans disbursements. Debt to BOAD decreased by 0.9 percentage points of GDP in 2022, and the World Bank has been the main source of new concessional financing, promoting large regional telecommunications and energy projects as well as national projects to support rural transportation.[12] Altogether, multilaterals held 80 percent of Guinea-Bissau's external debt at end-2022. The remaining external debt was bilateral, mainly to non-Paris Club creditors. External debt includes legacy arrears that the authorities have been actively seeking to resolve.[13]

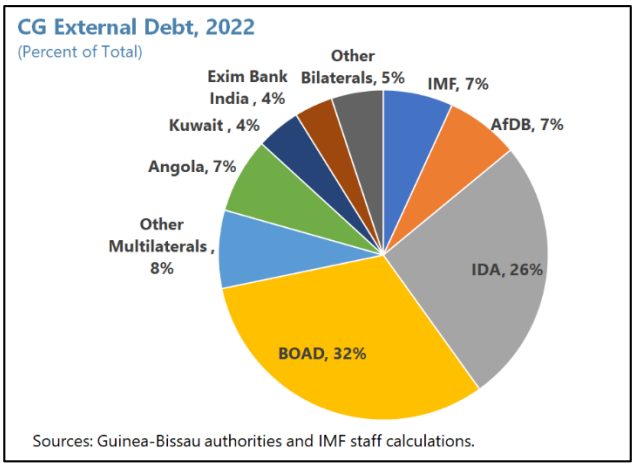
[10] In general, domestic debt is treated in nominal terms in the DSA.

[11] Out of the total amount, CFAF 14.8 billion (69 percent) was used to pre-pay BOAD principal due in September 2021–December 2022, and CFAF 2 billion (9 percent) to pre-pay BOAD interest due in the same period. The remaining amount, CFAF 4.8 billion (22 percent), was used to finance COVID-related expenditures.

[12] Additional World Bank financing includes projects to support food security, improve health service delivery, enhance the quality of education, and boost social safety nets. These operations are all grants, consistent with the country's debt risk rating.

[13] Guinea-Bissau had legacy external arrears totaling US$5.7 million at end-2022, to Brazil, Russia, and Pakistan. The authorities reached an agreement with Russia to cancel the debt (US$1.5 million). Negotiations with Brazil (US$1.9 million) are pending final approval from the Brazilian parliament. Since November 2021, requests have been sent to Pakistan (US$2.2 million) to attempt resolving remaining external arrears. This DSA includes some conservative repayment assumptions that will be revised once rescheduling agreements are reached.





8. Debt service to revenue excluding grants decreased to 64 percent in 2022 affected by the pre-payment to BOAD in 2021. Additionally, payment of domestic arrears in 2022 represented 5.2 percent of revenues, mostly related to the settlement of cross-arrears due to government suppliers. The authorities requested by end-2020 and again in 2021 to join the Debt Service Suspension Initiative (DSSI). Even without any debt suspension, debt sustainability prospects are expected to be enhanced through the commitment to limit non-concessional borrowing to levels agreed under IMF programs and IDA's SDFP and to disclose all public sector financial commitments involving debt.[14] The materialization of efforts to enhance domestic revenue mobilization, outlined in paragraph 10, is also expected to improve debt service-to-revenue ration over the medium-term.

9. Strong regional institutions provide support to Guinea-Bissau's debt management capacity. WAEMU currency union regional institutions, which have stronger capacity, manage both the debt issued by Guinea-Bissau in the regional sovereign treasury securities market (*UMOA-Titres*) as well as the debt held by the central bank (BCEAO). These two components account for almost 87 percent of Guinea-Bissau's domestic debt at end-2022. Moreover, Guinea-Bissau's borrowing through WAEMU sovereign securities market is expected to account for an insignificant share of available regional financing to the eight countries in this currency union.[15]

MACROECONOMIC ASSUMPTIONS

10. The near-term outlook projects a moderate recovery and sustained growth over the medium term, but risks are tilted to the downside. The main changes relative to the previous DSA of January 2023 (Text Table 3) include a downward adjustment in real GDP growth in 2023, higher inflation and a worsened external imbalance in the near term. The main baseline macroeconomic assumptions are as follows:

[14] Regarding the DSSI, the authorities declined to suspend the small debt service involved (0.7 percent of revenues) and some creditors did not respond.

[15] Guinea-Bissau represented only 2 percent of the total regional issuances in 2022.

- **Real GDP growth.** After a strong GDP growth recovery of 6.4 percent in 2021, growth has moderated to 4.2 percent in 2022 due to delayed cashew exports, which were partially compensated by strong growth of agricultural production and private sector investments. The projection of real GDP Growth in 2023 has been revised downwards to 4.2 percent, reflecting the negative impact of declining income from cashew sales on consumption.[16] However, increased subsistence farming, supported by good rainfall and high private investments, which include those in the energy sector, will have a positive effect on growth. In the medium term, growth will be supported by the normalization of cashew exports, and a more stable political context, with structural reforms such as enhancing public financial management, revenue mobilization, anti-corruption and rule of law, and stronger business environment expected to support private investment growth. Long-term growth is projected at 4.1 percent, in line with the economy's growth potential[17] and reflective of the impact of structural reforms to strengthen governance and public sector efficiency and improve the business environment – including through better access to electricity which should contributed to improved productivity.

- **Inflation.** Average inflation reached 7.9 percent in 2022 reflecting pressures on prices of imported goods, especially food and oil. In 2023, average inflation is expected to reach 8.0 percent. This is substantially above the 3 percent convergence WAEMU criteria, reflecting persistent inflationary pressures due to supply chain disruptions and food inflation, particularly the surge of international rice prices.[18]

Text Table 3. Guinea-Bissau: Key Macroeconomic Projections
(Percent of GDP, Unless Otherwise Indicated)

	2021	2022	2023 Proj.	2024 Proj.	2025 Proj.	2026 Proj.	2027 Proj.	2028 Proj.	Long Term[1]
Real GDP growth (percent)									
Previous DSA	6.4	3.5	4.5	5.0	5.0	5.0	5.0	4.5	4.2
Current DSA	6.4	4.2	4.2	5.0	5.0	5.0	5.0	4.5	4.1
CPI inflation (percent)									
Previous DSA	3.3	7.8	5.0	3.0	2.0	2.0	2.0	2.0	2.0
Current DSA	3.3	7.9	8.0	3.0	2.0	2.0	2.0	2.0	2.0
Primary fiscal balance									
Previous DSA	-4.0	-4.2	-1.7	-1.0	-0.9	-0.9	-0.8	-0.8	-0.7
Current DSA	-4.3	-4.7	-3.2	-1.0	-0.8	-0.8	-0.7	-1.3	-0.4
Overall fiscal balance (commitment)									
Previous DSA	-5.6	-5.5	-3.9	-3.2	-3.0	-3.0	-3.0	-3.0	-3.0
Current DSA	-5.9	-6.1	-5.6	-3.5	-3.0	-3.0	-3.0	-3.0	-2.9
Tax revenues									
Previous DSA	9.8	9.5	9.9	10.2	10.5	10.7	11.0	10.9	12.4
Current DSA	9.8	9.3	9.6	9.7	10.2	10.5	10.8	10.9	12.1
Domestic primary expenditures									
Previous DSA	14.7	14.9	12.9	12.4	12.6	12.8	12.9	12.9	14.4
Current DSA	14.7	15.0	14.4	13.1	12.3	12.6	12.7	12.8	13.6
Non-interest current account balance									
Previous DSA	-2.1	0.3	-5.2	-3.5	-3.3	-3.2	-3.0	-2.9	-3.1
Current DSA	0.3	-8.9	-7.6	-3.7	-3.7	-3.3	-3.0	-2.8	-2.7
External debt									
Previous DSA[2]	40.0	41.2	38.4	36.1	34.1	31.6	29.4	27.8	20.8
Current DSA	40.3	39.2	34.9	33.3	31.6	29.5	27.5	25.9	19.6
Domestic debt									
Previous DSA[2]	38.9	39.7	39.8	39.3	38.6	38.6	38.5	39.0	39.8
Current DSA	38.5	41.2	41.6	40.7	40.0	39.9	39.8	39.8	40.5

Source: Bissau-Guinean authorities and staff estimates.
[1] Covers the period 2029-43 for current DSA, and 2028-42 for the previous DSA.
[2] Adjusted based on the reclassification of BOAD as external debt.

[16] The disparity in growth estimate for 2023 between World Bank Macro Poverty Outlook for the 2023 Annual Meetings (AM23 MPO; (2.8 percent) and WEO (4.2 percent) primarily stem from the timing of forecasts (MPO using uses half year data vs while the WEO is more recent), and assumptions on developments in the cashew sector and the contributions of subsistence farming to growth. The lower growth rate does not materially alter the result of the DSA.

[17] Potential growth is estimated at around 4.1 percent based on standard techniques such as the Hodrick-Prescott Filter and estimation using an aggregate production function. These estimates use historical data of the existing drivers of the economy: subsistence agriculture, cashew nut sector and commerce.

[18] The WAEMU's CFA is pegged to the euro, which is expected to appreciate by 3.3 percent against the US dollar in 2023.

- **Fiscal deficit.** Overall fiscal deficit worsened to 6.1 percent in 2022. However, the overall fiscal deficit in 2023 is expected to decline to 5.6 percent of GDP, supported by higher revenues and budget support. Notably, the tax collection by the Directorate-General for Taxes and Duties (DGCI) has overperformed the target by CFAF 1.3 billion through June 2023, excluding cashew-related taxes. DGCI's professionalization through redeployment of unqualified managers and implementation of the reform action plan will reinforce this positive trend. Moreover, wage bill spending is projected to decline nominally by 11 percent, decreasing from 6.2 percent of GDP to 4.9 percent, as the new government continues to support existing corrective actions, including total freezing of new hirings, capping salary expenses for key ministries, and maintaining streamlined advisor positions in high offices.[19] Budget support is projected to be higher, supported by bilateral and multilateral donors amid catalytic effects of the ECF arrangement.
- In the medium-term, the overall deficit is expected to converge to the WAEMU regional target of 3 percent of GDP by 2025. Consistent with the authorities' commitment to consolidate and improve debt sustainability, an annual average of 0.9 percentage points of GDP adjustment in the domestic primary balance (on a commitment basis) is projected over three years (2023-26).[20] A balanced and durable growth-supportive fiscal consolidation would be supported by following measures:
    - **Enhancing revenue mobilization.** Tax revenues are expected to increase by around 0.9 percentage points between 2023 and 2026. Measures to enhance tax revenue mobilization cover both revenue administration and tax policy reforms, including the broadening of the tax base, simplifying the tax system, and strengthening tax administration and compliance. To further accelerate revenue mobilization and modernize the tax regime, the authorities will continue facilitating DGCI's professionalization, streamline tax exemptions for imported goods, and submit to Parliament the revised law on the general exemption regime (structural benchmark (SB), end-December 2023) and the revised income tax and stamp duties bills (SB, end-June 2025). They will also implement the new VAT law and the action plans for improving the custom and tax administrations with support from continued technical assistance (TA) of the IMF.[21] Tax enforcement has been one of the DGCI's weakest links. Out of 149 large taxpayers, only 9 taxpayers were audited in the first half of 2023, recovering little amount, and no audit was undertaken between July-September. The authorities will reactivate the tax audit program by auditing 50 large taxpayers. To improve revenue generation from natural resources and its transparency, the authorities will prepare an action plan to develop a registry of resource rights holders and undertake diagnosis of the fiscal regime for natural resources (SB, end-June 2024) with IMF TA support.
    - **Strengthening PFM and expenditure control.** The government is committed to decreasing domestic primary expenditures by around 1.8 percentage points of GDP between 2023 and 2026, of which 0.2 percentage points come from wage bill management measures. In 2024,

[19] About 51 positions were reduced at Presidency, the Prime Minister's Office, the Presidency of the Parliament, the Presidencies of the Supreme and Audit Courts, and Prosecutor's Office.

[20] The domestic primary balance excludes grants and foreign financed capital spending.

[21] For details of the VAT reform, please see IMF Country Report No. 22/196, Annex IV.

the significant fiscal consolidation reflects the combination of revenue mobilization, control of the wage bill and rationalization of discretionary spending, including one-off expenditures incurred in 2023. The 2022 FAD wage bill management mission provided additional reform options for wage bill management while protecting priority social spending.[22] To address any wage bill overrun, the government has taken a series of corrective actions since 2022.[23] They have also undertaken additional containment measures in 2023, including conducting new census of public administration and redistribution of staff workload in the Ministry of Education – the ministry with the largest number of civil servants. The authorities will improve the new census process by requring the line ministries to validate and sign off the census results. Biometric devices will be also rolled out to the line ministries participating in the new census, after the pilot at the Ministry of Economy and Finance (MoEF). In addition, the authorities have also strengthened expenditure controls through reintroduction of commitment control process. In particular, the Technical Committee of Arbitration of Budgetary Expenditure (COTADO), which was resumed in September 2023, strictly controls all commitments of discretionary expenditure and its decisions are scrutinized by the highest level of government to provide the political backing. They have implemented reforms to reconcile the personnel and the payroll records[24], enhance the treasury and cash management function with the implementation of a Treasury Single Account (TSA) and execute expenditure from the TSA, starting with the wage bill.

- **Improving SOE oversight and mitigating fiscal risks.** The IMF SOE oversight and fiscal risk TA mission identified the national utility company, EAGB, as the main sources of fiscal risks.[25] To mitigate imminent fiscal risks, EAGB completed the installation of 32,700 pre-paid electricity meters in just five months, which have increased its monthly revenue from CFAF 1.5 billion to 1.9 billion. EAGB has remained current with payments to Karpower since April 2023 and is purchasing additional 40,000 prepaid meters, which will cover most of residential clients who have post-paid meters. The OMVG project, which connects Bissau to a hydropower plant in Guinea-Conakry, is nearly completed and will reduce power purchase costs substantially. However, a transitional period is needed before switching the source of power from Karpower to the OMVG, because the "Ring Line" Project financed by AfDB is yet

[22] The estimated fiscal saving of wage bill and expenditure control is about 1.9 percent of GDP by 2027.

[23] These measures included: (i) the dismissal of irregular hirings; (ii) total freezing of hirings; (iii) capping salary expenses for key ministries; (iv) full inventory-taking of health and education facilities to assess the personal needs and identify irregular workers; (v) a new decree was also issued which stipulated that all contracts should be carried out by submitting the vacancies authorized by the Ministry of Labor and the Ministry of Finance; and (vi) elimination of two-thirds of advisor positions at the Presidency, Prime Minister's Office, the Presidency of the Parliament, and the Presidencies of the Constitutional and Audit Courts.

[24] This will be supported by the deployment of the blockchain technology-based solution supported by the IMF. The design of block-chain solutions will be interwoven into governance reforms.

[25] The other SOEs are Administration of the Ports of Guinea-Bissau (APGB); Civil Aviation Agency of Guinea-Bissau (AACGB); and National Petroleum Exploration and Exploration Company of Guinea-Bissau (PetroGuin). Their guaranteed debt is included in the DSA and amount of non-guaranteed debt is negligible. For example, apart from guaranteed debt, the APGB's balance sheet for 2021 had only non-debt liabilities (tax arrears and unverified payables).

to complete a transmission line that connects the OMVG terminal and the distribution grid. Meanwhile, the government will continue renegotiation with Karpower. The Audit Court is making progress in auditing the power purchase contract and addendums. The government will continue to pursue accountability for any irregularities in the addendum process after terminating its power supply from Karpower.

- **Safeguarding social and priority spending and investment.** The authorities are committed to safeguarding social and priority spending as well as public investment over the medium term. During 2023-28, social and priority spending is projected to increase by 0.6 percentage points of GDP compared to pre-COVID-19 period (2010-19). Public investment is projected to average around 7.3 percent of GDP per annum during 2023-28, 1.4 percentage points higher than pre-COVID-19 period (2010-19). Notably, domestically financed capital expenditure is projected to be higher than historical average, underpinned by the fiscal space created.

11. Current account deficit. The non-interest current account deficit reached 8.9 percent of GDP in 2022 and is projected to narrow to 7.6 percent of GDP for 2023, will remain higher than under the previous DSA. The recent deterioration of the current account mostly reflects significant terms of trade shocks arising from declining international cashew prices, which negatively affected the campaign for 2023 and caused the significant delay in export, and higher fuel and food import prices, particularly surge of international rice prices due to supply shocks and rice export restrictions in South Asia. In the medium-term, the current account deficit is expected to improve gradually due to sustained fiscal consolidation and more favorable terms of trade.

12. Public debt to GDP is expected to decrease by 3.9 percentage points in 2023 due to a lower fiscal deficit, appreciation of the domestic currency and higher nominal GDP. The stock of domestic debt is projected to increase by 0.4 percentage points of GDP compared to 2022. The authorities will continue to seek financing through the issuance of treasury bills. As a result, the stock of securities (held by local and regional commercial banks) is projected to grow further by 2.4 percentage points of GDP. The stock of other domestic debt sources is expected to fall in 2023. Debt to the regional central bank (BCEAO), loans from local commercial banks and domestic payment arrears are projected to jointly drop by 0.5 percentage points of GDP. The stock of external debt is projected to decrease by 4.3 percentage points of GDP, mostly driven by a concentrated debt repayment schedule in 2023, particularly with BOAD, and a revaluation effect from the stronger domestic currency.

Text Table 4. Guinea-Bissau: Borrowing Plan

PPG external debt contracted or guaranteed	Volume of new debt[1]		Present value of new debt[1]	
	2023 (US$ million)	2024[2] (US$ million)	2023 (US$ million)	2024[2] (US$ million)
Sources of debt financing	**32.7**	**38.9**	**21.2**	**26.4**
Concessional debt[3]	32.7	38.9	21.2	26.4
Multilateral debt	32.7	38.9	21.2	26.4
Uses of debt financing	**32.7**	**38.9**	**21.2**	**26.4**
Urban Infrastructure	12.3	14.2	8.0	9.7
Agriculture	20.4	24.7	13.2	16.8

Source: Guinea-Bissau authorities and IMF staff estimates.

1/ Contracting and guaranteeing of new debt excluding IMF. The present value of debt is calculated using the terms of individual loans and applying the 5 percent program discount rate.

2/ Preliminary data.

3/ Debt with a grant element of at least 35 percent.

REALISM OF THE BASELINE ASSUMPTIONS

13. The DSA assumes that authorities will implement a prudent borrowing strategy and medium-term investment-related borrowing is projected to prioritize concessional financing. Contracting of new loans is expected to be constrained with the fiscal consolidation strategy under the ECF. Gross annual project disbursements from loans and grants are assumed to be between 60 and 72 percent of capital expenditure, which is expected to average 5.1 percent of GDP in the next five years, given the low absorption capacity. In the medium term, in line with the government's policy to prioritize low-cost funding, multilateral creditors are expected to provide most project financing on grant or concessional terms. The share of credits from the Fund, World Bank, and African Development Bank in total external public debt is estimated at 42 percent in 2022. While the share of all multilateral creditors in total external public debt is relatively high (80 percent in 2022), past reliance on non-concessional borrowing from the BOAD, which is the largest holder of external public debt, will be reduced significantly in the medium-term. The World Bank and the IMF will be supporting the authorities with the preparation of a MTDS through technical assistances. Borrowing from BOAD is projected to decline significantly driven by the debt repayment schedule concentrated in the period of 2023-2025. The baseline assumes better investment planning and execution to ensure value for money and better alignment with the budget process. Treasury securities with longer maturities (on average 3.8 years) are expected to fill most non-investment-related financing needs in the medium-term (2024 onwards), thus helping to mitigate refinancing risks. In 2023, interest rates are projected to increase to 8.0 percent for bonds with maturities of one to three years, and to 8.3 percent for bonds with maturities of four to seven years. These interest rates reflect the effect of the recent tightening of financial conditions in the WAEMU.[26]

14. The macroeconomic scenario is broadly realistic. The non-interest current account deficit in 2023-27 is projected to contribute to external debt accumulation, in line with debt dynamics over the past five years. This driver of debt is expected to be offset by sustained growth, increased reliance on committed grants (captured in the residual of the drivers of debt dynamics in Figure 3)[27] and higher-than-expected inflation. It is assumed that multilateral donors will prioritize grant disbursements considering the structural fragility of the country, its large development needs, and limited access to alternative financing sources. Fiscal consolidation and improvements in governance are also expected to crowd in grants.

15. The dynamics of total public debt are dominated by developments of the primary fiscal balance and real GDP growth. Both factors are expected to have a greater debt-containment effect than in the past, due to increased authorities' commitment to fiscal and governance reforms, as well as a stable political environment more conducive to growth. The projected three-year adjustment in the primary

[26] In addition, interest rates on short-term T-bills are projected to increase to 7.7 percent in 2023, 7.0 percent in 2024 and 6 percent from 2025 onwards. Long-term bonds (4-7 years) are assumed to provide funding for over 50 percent of the financing gap during the medium term (2023-2025), followed by medium term bonds (1-3 years) accounting for 32 percent of the financing.

[27] For 2018-2022, the reclassification of BOAD debt from domestic to external accounts for the large unexplained increase in external debt (Figure 3). For the 5-year forecast period, the residual is also affected by the financing from treasury securities in the regional market, which are considered domestic debt in the DSA, but account for sizable capital inflows in the financial account.

deficit is marginally larger than the 25th percentile observed in historical data from low-income countries (LICs) with Fund-supported programs (Figure 4), which is consistent with the authorities' commitment to continued fiscal consolidation during the IMF financial program. Actual fiscal results, however, tend to be highly volatile in Guinea-Bissau.[28] Real GDP growth is projected at 4.2 percent in 2023 consistent with a small fiscal multiplier (Figure 4), as presumed by a high import content of government spending and evidenced by essentially zero correlation between real GDP growth and changes in the fiscal primary balance since 2010.

COUNTRY CLASSIFICATION AND DETERMINATION OF STRESS TEST SCENARIOS

16. Guinea-Bissau is assessed to have weak debt carrying capacity, unchanged from the January 2023 DSA. The Composite Indicator (CI) score for Guinea-Bissau is 2.55, based on data on macroeconomic indicators from the October 2023 WEO and from the 2022 Country Policy and Institutional Assessment (CPIA) of the World Bank (Text Table 5). This score is below the 2.69 cutoff, thus resulting in a weak debt-carrying capacity.

Text Table 5. Guinea-Bissau: Calculation of the CI Index

Components	Coefficients (A)	10-year average values (B)	CI Score components (A*B) = (C)	Contribution of components
CPIA	0.385	2.503	0.96	38%
Real growth rate (in percent)	2.719	4.486	0.12	5%
Import coverage of reserves (in percent)	4.052	39.591	1.60	63%
Import coverage of reserves^2 (in percent)	-3.990	15.674	-0.63	-25%
Remittances (in percent)	2.022	4.69	0.09	4%
World economic growth (in percent)	13.520	2.889	0.39	15%
CI Score			2.55	100%
CI rating			Weak	

17. The magnitude of the combined contingent liability shock is standard (Text Table 6). This DSA runs a stress test with an additional contingent liability shock of 5.2 percent of GDP instead of the default values.[29] The increase in the shock mostly captures the potential liabilities related to the possible recapitalization needs of a systemic bank that does not meet the WAEMU's minimum capital requirements. The shock also reflects the potential fiscal costs of operational losses of the electricity utility (EAGB),

[28] Past debt forecast errors are mostly explained by unexpected changes in the primary deficit driven by cashew campaigns, the impact of political instability on reform implementation, and large investments. The country's structural fragility accounts for the large difference in unexpected debt changes compared to other LICs. Given efforts to diversify the economy, recent political stability, and commitments of the authorities to reform implementation, forecast errors are expected to subside in the future. For the 2018-2022 period, residuals, were also a large contributor to the unexpected increase in public debt (Figure 3). 2018 and 2020 account for most of these residuals. About three-fourth of the residuals are explained by unaccounted external debt, new guarantees, and BOAD's reclassification and membership rights. Most of these factors are not likely to reoccur.

[29] Breakdown of the shocks: bank recapitalization (2 percent), EAGB debt (1.2 percent) and potential domestic arrears (2 percent).

contingent liabilities linked with increased public guarantees, and the possibility of the domestic arrears being larger than what is already included in the debt stock (1.1 percent of GDP at end-2022).[30] The current estimate builds on audits that still need to be validated by the authorities. The authorities requested support from the World Bank to finalize those audits.

Text Table 6. Guinea-Bissau: Combined Contingent Liabilities Shock

		Default	Used for the analysis	Reasons for deviations from the default settings
1	The country's coverage of public debt	The central government, central bank, government-guaranteed debt		
2	Other elements of the general government not captured in 1.	0 percent of GDP	0	
3	SoE's debt (guaranteed and not guaranteed by the government) 1/	2 percent of GDP	3.2	Increased from 2 to 3.2 to reflect EAGB non-guaranteed debt (1.2 percent) and potential domestic arrears (2 percent).
4	PPP	35 percent of PPP stoc	0	
5	Financial market (the default value of 5 percent of GDP is the minimum value)	5 percent of GDP	7	Increased by 2 percent to reflect potential liabilities linked to bank recapitalisation needs.
	Total (2+3+4+5) (in percent of GDP)		10.2	

1/ The default shock of 2% of GDP will be triggered for countries whose government-guaranteed debt is not fully captured under the country's public debt definition (1.). If it is already included in the government debt (1.) and risks associated with SoE's debt not guaranteed by the government is assessed to be negligible, a country team may reduce this to 0%.

DEBT SUSTAINABILITY

A. External Debt Sustainability Analysis

18. Guinea-Bissau's risk of external debt distress remains high, as in the January 2023 DSA. The external debt-to-GDP indicator based on PV ratios remain below the relevant indicative thresholds throughout the projection period (2023–43) under the baseline scenario. However, the PV of debt-to-exports ratio remains above the threshold until 2027, a deterioration relative to the previous DSA. While the indicator debt-to-revenue ratio improves slightly, the debt-service-to-export ratio significantly deteriorates from the January 2023 DSA due to the protracted effects of the recent negative shock of the cashew nut exports. As in the previous DSA, the indicators breach their indicative thresholds under the baseline, which implies a mechanical 'high' risk rating (Figure 1 and Table 3).[31] That said, since Guinea-Bissau is in a currency union with FX reserve pooling, the effective impact of these indicators is rather limited.

19. The adverse commodity price stress test was designed to reflect Guinea-Bissau's vulnerability to cashew price fluctuations. The analysis shows the debt sustainability prospects after a hypothetical 25 percent fall in cashew export prices in the first year of the projection (Figure 1). This stress test is based on historical volatility of the cashew nut price.[32]

B. Public Debt Sustainability Analysis

[30] These supplier's arrears, which have been outstanding for several decades, necessitated a prolonged audit and verification process. Efforts are currently underway by the authorities to devise strategies for the timely liquidation of the arrears in the foreseeable future.

[31] For the standard export shock, nominal export growth is set to its historical average (5.5 percent) minus 0.5 standard deviation (SD), instead of 1 SD (default parameter, which amounts to 28 percent in Guinea-Bissau). This reflects the fact that the ten-year lagged standard deviation of export growth (excluding the covid-shock of 2020) is half of the historical standard deviation. This scenario results in an annual drop of 8.6 percent in exports both in 2024 and 2025 (as opposed to 5.8 percent average export growth in the baseline).

[32] In the last ten years, 25 percent shock is roughly one standard deviation of the cashew nut price.

20. Guinea-Bissau's overall risk of debt distress is assessed as high. The PV of total public debt-to-GDP ratio stays above its indicative benchmark (35 percent) through 2033, a substantial and prolonged breach (Table 4 and Figure 2).[33] Moreover, debt service as a percentage of revenues and grants increases to 88 percent in 2028 impacted by the need to roll over costly short-term debt from regional market, and then begins a declining trajectory reaching 54 percent in 2033. Despite the expected improvement in revenues and authorities' efforts to shift to concessional financing, this increase is projected because of higher future amortization of existing debt in the medium run.

21. Public debt sustainability is vulnerable to a commodity price shock. After a 25 percent drop in cashew prices, the present value of the debt-to-GDP ratio reaches 73 percent in 2031 stabilizing at this value, and the debt service-to-revenue ratio reaches 112 percent in 2028 before stabilizing at around 81 percent.

CONCLUSIONS

22. Public debt is considered sustainable based on the authorities' commitment to the fiscal consolidation towards the WAEMU deficit convergence criteria and the support provided by the regional institutions with strong capacity to help manage debt. Guinea-Bissau's external debt burden indicators are consistent with sustainability in the sense of following a downward trend over the medium-term, but the present value of total public debt-to-GDP and indicators based on the external debt-service ratios show large and prolonged breaches of the indicative benchmarks and threshold respectively. Nonetheless, the country benefits from financial and technical support from the regional institutions and debt markets and larger regional currency union members with stronger debt carrying capacity. The supportive WAEMU context bolsters the country's capacity to carry domestic/regional debt beyond what is captured by the standard composite indicator. Taking this into consideration underpins the conclusion that Guinea-Bissau's public debt is sustainable contingent on the authorities' commitments to sound policies in the context of an engagement with the Fund and other development partners, together. This engagement should ensure that policies are in place that would put debt on a robust downward trajectory.

23. Under the staff's baseline scenario, Guinea-Bissau's public debt is kept on a sustainable path, with the overall public debt burden falling below the regional convergence criterion of 70 percent by 2026. If the policy agenda is successfully executed and barring an unexpected external shock, total public debt would decline from 80.4 percent of GDP estimated at end-2022 to 65.7 percent of GDP by 2028.

24. A Fund-supported program and strong multilateral donor engagement will underpin the policy actions necessary for achieving the baseline projection. Key policy actions include (i) continued fiscal consolidation efforts including revenue enhancement measures, containing current spending below nominal GDP growth, a sharp reduction in the wage bill, and robust implementation of growth-enhancing

[33] Under the most extreme (commodity price) shock, (equivalent to a one SD shock to the cashew price) the PV of debt-to-GDP ratio increases to 74 percent in 2033, and the PV of debt-to-revenue increases to 469 percent in 2026. The impact of the most extreme shock on debt service-to-revenue increases this ratio from 55 percent in 2023 to 112 percent in 2028.

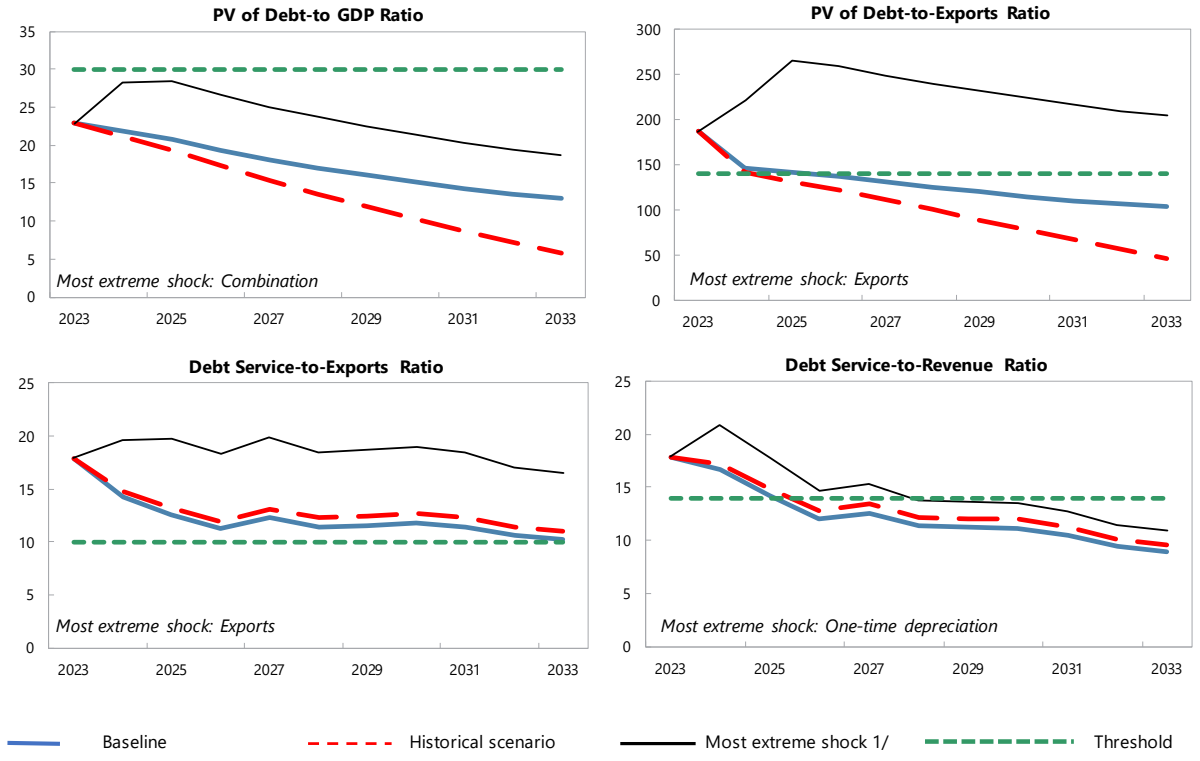
reforms; (ii) prudent borrowing policies, including the avoidance of non-concessional project financing; (iii) enhanced debt management, with more rigorous compilation and monitoring of debt statistics, upgraded procedures and publication of regular debt reports to improve transparency; and (iv) improved management of the existing loan pipeline and application of recognized assessment procedures to ensure criticality of investment projects. The baseline debt dynamics could further improve with full donor re-engagement leading to (i) a substantial scaling up of grants by multilateral institutions; and (ii) a reprofiling of selected debt obligations to extend maturities and reduce interest rates when financing terms are favorable.

25. There are significant downside risks to the baseline scenario. Strong and sustained political commitment is needed to deliver the envisaged medium-term fiscal adjustment embedded in this DSA. The debt outlook remains highly vulnerable to a weaker economic recovery as well as the materialization of unexpected contingent liabilities. Since the January 2023 DSA, downside risks from a deteriorating global outlook have intensified. A further tightening of financial conditions in the regional bond market, weakening global demand, and continued pressure on exchange rate pose risks for debt sustainability. If realized, these downside risks could lead to higher external and public debt burden indicators and increase the risk of arrears accumulation. Risks also arise from disappointing cashew exports due to lower prices or climate events, high global food and oil prices, including the effects of a protracted political security crisis in Europe and the Middle East, and climate change-related natural disasters. Financial stress in state-owned enterprises could generate contingent liabilities, adding to fiscal pressures. If these risks materialize, social tensions could increase, triggering political instability that may constrain the fiscal adjustment and increase debt vulnerabilities.

AUTHORITIES' VIEWS

26. The authorities broadly concur with staff's views on debt sustainability and the recommendations. They agree that debt sustainability depends crucially on sound macroeconomic policies including the fiscal consolidation envisioned during the program. They emphasized (i) their commitment to the agreed fiscal path and reforms, while relying on concessional borrowing; and (ii) the need to carefully calibrate the financing of the public investment plan and select investment projects with critical contributions to growth that are aligned with the budget targets and improved coordination among the different agencies involved in the Debt Committee. The authorities recognize the risks to the debt outlook and expect that the continued satisfactory performance during the Extended Credit Facility (ECF) will contribute to mitigate the country's high risk of debt distress.

Figure 1. Guinea-Bissau: Indicators of Public and Publicly Guaranteed External Debt Under Alternatives Scenarios, 2023–33[1]



Customization of Default Settings	Size	Interactions
Standardized Tests	Yes	
Tailored Stress		
Combined CL	Yes	
Natural disaster	n.a.	n.a.
Commodity price	Yes	Yes
Market financing	n.a.	n.a.

Note: "Yes" indicates any change to the size or interactions of the default settings for the stress tests. "n.a." indicates that the stress test does not apply.

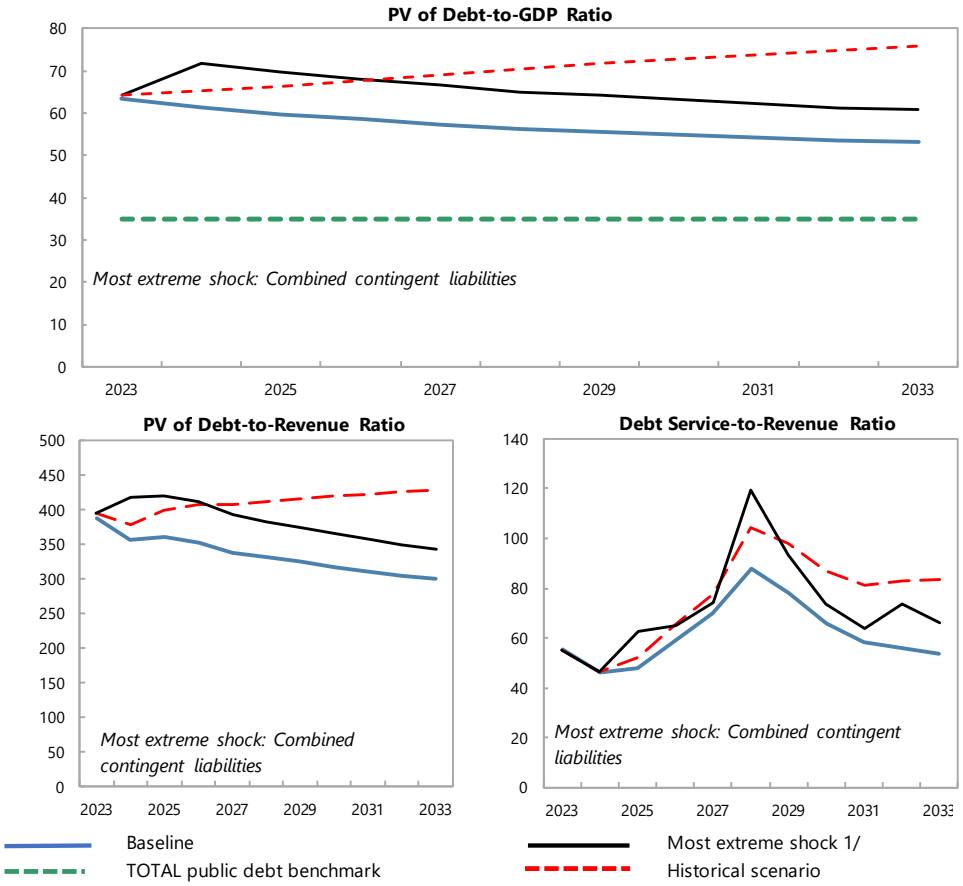
Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG MLT debt	100%	
Terms of marginal debt		
Avg. nominal interest rate on new borrowing in USD	1.2%	1.2%
USD Discount rate	5.0%	5.0%
Avg. maturity (incl. grace period)	29	30
Avg. grace period	6	10

* Note: All the additional financing needs generated by the shocks under the stress tests are assumed to be covered by PPG external MLT debt in the external DSA. Default terms of marginal debt are based on baseline 10-year projections.

Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

Figure 2. Guinea-Bissau: Indicators of Public Debt Under Alternative Scenarios, 2023–33



Borrowing assumptions on additional financing needs resulting from the stress tests*	Default	User defined
Shares of marginal debt		
External PPG medium and long-term	17%	17%
Domestic medium and long-term	63%	63%
Domestic short-term	20%	20%
Terms of marginal debt		
External MLT debt		
Avg. nominal interest rate on new borrowing in USD	1.2%	1.2%
Avg. maturity (incl. grace period)	29	30
Avg. grace period	6	10
Domestic MLT debt		
Avg. real interest rate on new borrowing	3.8%	3.8%
Avg. maturity (incl. grace period)	4	4
Avg. grace period	3	3
Domestic short-term debt		
Avg. real interest rate	3.4%	3.4%

* Note: The public DSA allows for domestic financing to cover the additional financing needs generated by the shocks under the stress tests in the public DSA. Default terms of marginal debt are based on baseline 10-year projections.

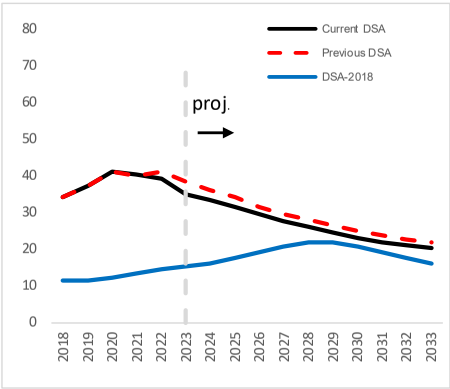
Sources: Country authorities; and staff estimates and projections.

1/ The most extreme stress test is the test that yields the highest ratio in or before 2033. The stress test with a one-off breach is also presented (if any), while the one-off breach is deemed away for mechanical signals. When a stress test with a one-off breach happens to be the most exterme shock even after disregarding the one-off breach, only that stress test (with a one-off breach) would be presented.

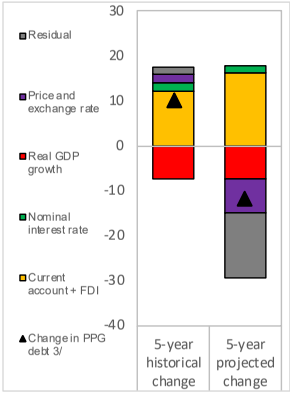
Figure 3. Guinea-Bissau: Drivers of Debt Dynamics–Baseline Scenario

External Debt

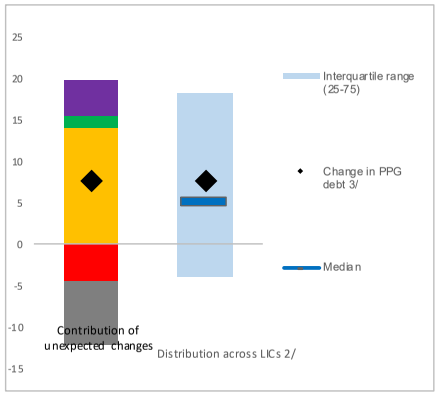
Gross Nominal PPG External Debt /4
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)

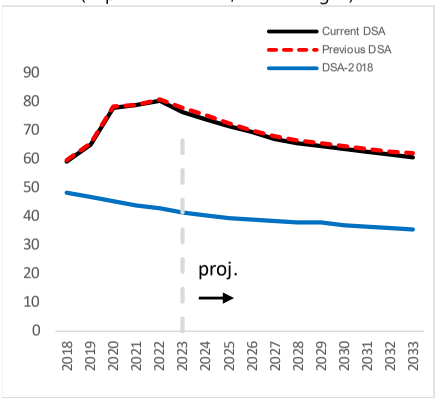


Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)

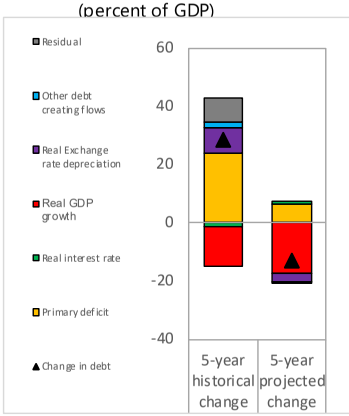


Public Debt

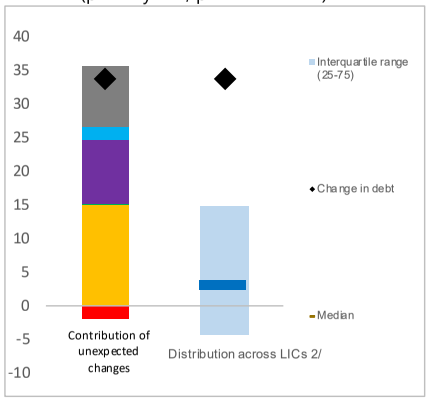
Gross Nominal Public Debt
(in percent of GDP; DSA vintages)



Debt-creating flows
(percent of GDP)



Unexpected Changes in Debt 1/
(past 5 years, percent of GDP)



1/ Difference between anticipated and actual contributions on debt ratios.

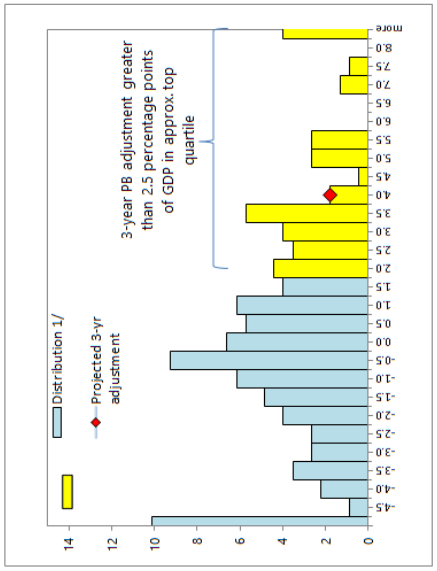
2/ Distribution across LICs for which LIC DSAs were produced.

3/ Given the relatively low private external debt for average low-income countries, a ppt change in PPG external debt should be largely explained by the drivers of the external debt dynamics equation.

4/ Difference between current and previous DSA due to the reclassification of debt to BOAD as external.

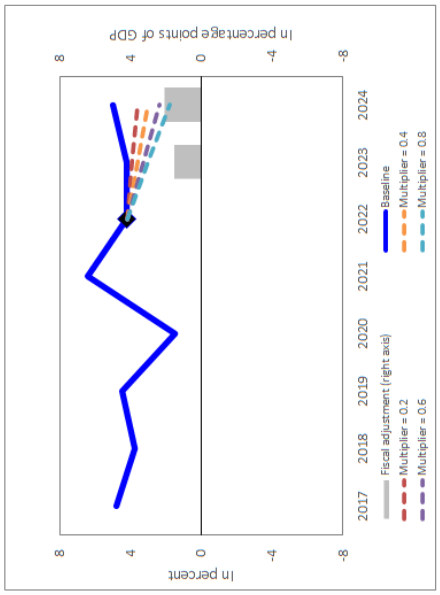
Figure 4. Guinea-Bissau: Realism Tools

3-Year Adjustment in Primary Balance
(Percentage points of GDP)



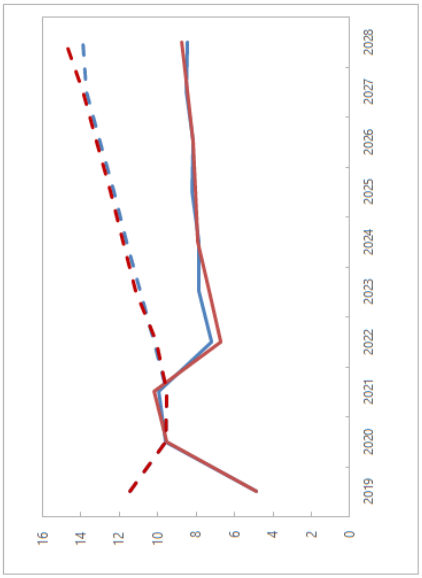
1/ Data cover Fund-supported programs for LICs (excluding emergency financing) approved since 1990. The size of 3-year adjustment from program inception is found on the horizontal axis; the percent of sample is found on the vertical axis.

Fiscal Adjustment and Possible Growth Paths 1/



1/ Bars refer to annual projected fiscal adjustment (right-hand side scale) and lines show possible real GDP growth paths under different fiscal multipliers (left-hand side scale).

Public and Private Investment Rates
(percent of GDP)



Contribution to Real GDP growth
(percent, 5-year average)

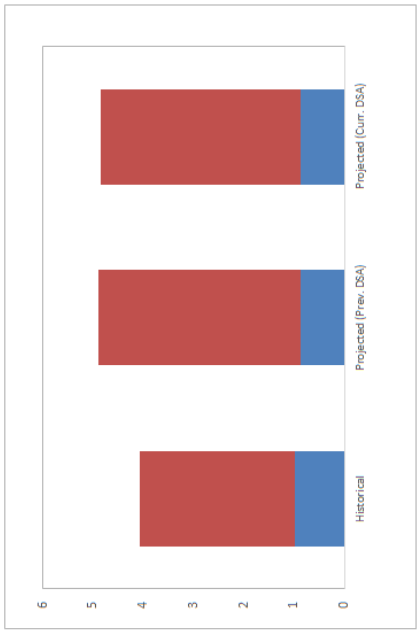
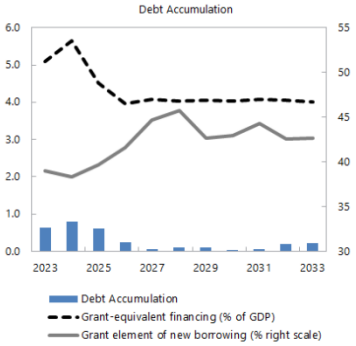


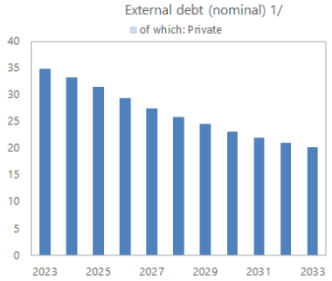
Table 1. Guinea-Bissau: External Debt Sustainability Framework, Baseline Scenario, 2020–43

(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 8/	
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2033	2043	Historical	Projections
External debt (nominal) 1/	**41.1**	**40.3**	**39.2**	**34.9**	**33.3**	**31.6**	**29.5**	**27.5**	**25.9**	**20.2**	**17.6**	**34.6**	**26.7**
of which: public and publicly guaranteed (PPG)	**41.1**	**40.3**	**39.2**	**34.9**	**33.3**	**31.6**	**29.5**	**27.5**	**25.9**	**20.2**	**17.6**	**34.6**	**26.7**
Change in external debt	3.8	-0.8	-1.1	-4.3	-1.5	-1.8	-2.1	-1.9	-1.6	-0.8	-0.2		
Identified net debt-creating flows	**0.0**	**-5.5**	**8.3**	**5.2**	**1.6**	**1.5**	**1.2**	**1.0**	**1.0**	**1.3**	**1.3**	**-1.0**	**1.6**
Non-interest current account deficit	**1.7**	**-0.3**	**8.9**	**7.6**	**3.7**	**3.7**	**3.3**	**3.0**	**2.8**	**2.7**	**2.6**	**2.0**	**3.5**
Deficit in balance of goods and services	13.6	10.6	17.7	16.9	13.4	12.4	11.7	11.4	10.9	9.8	7.6	**9.2**	**11.6**
Exports	15.3	19.4	15.4	12.3	14.9	14.6	14.1	13.8	13.6	12.5	10.7		
Imports	28.9	30.0	33.1	29.2	28.3	27.0	25.9	25.2	24.5	22.3	18.3		
Net current transfers (negative = inflow)	-9.4	-8.8	-7.7	-8.1	-8.4	-7.4	-7.1	-6.9	-6.6	-5.5	-3.8	**-5.7**	**-6.8**
of which: official	-3.2	-2.6	-1.9	-2.7	-3.2	-2.3	-2.0	-2.1	-2.0	-2.0	-1.6		
Other current account flows (negative = net inflow)	-2.5	-2.1	-1.2	-1.3	-1.3	-1.3	-1.4	-1.5	-1.5	-1.5	-1.2	**-1.5**	**-1.4**
Net FDI (negative = inflow)	**-1.4**	**-1.0**	**-0.9**	**-1.4**	**-0.9**	**-0.9**	**-0.9**	**-0.9**	**-0.9**	**-0.9**	**-0.9**	**-1.8**	**-1.0**
Endogenous debt dynamics 2/	**-0.3**	**-4.2**	**0.3**	**-1.0**	**-1.2**	**-1.2**	**-1.2**	**-1.1**	**-0.9**	**-0.6**	**-0.5**		
Contribution from nominal interest rate	0.6	0.6	0.2	0.4	0.4	0.3	0.3	0.3	0.3	0.2	0.2		
Contribution from real GDP growth	-0.5	-2.3	-1.7	-1.4	-1.6	-1.5	-1.5	-1.4	-1.2	-0.8	-0.7		
Contribution from price and exchange rate changes	-0.3	-2.5	1.9	...	...	...	...	...	...	...	...		
Residual 3/	**3.8**	**4.7**	**-9.4**	**-9.5**	**-3.1**	**-3.3**	**-3.3**	**-3.0**	**-2.6**	**-2.0**	**-1.4**	**2.4**	**-3.3**
of which: exceptional financing	-0.2	-0.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Sustainability indicators													
PV of PPG external debt-to-GDP ratio	**...**	**...**	**25.8**	**22.9**	**21.8**	**20.7**	**19.4**	**18.1**	**17.0**	**12.9**	**11.4**		
PV of PPG external debt-to-exports ratio	**...**	**...**	**167.6**	**186.9**	**146.3**	**141.3**	**137.0**	**130.7**	**125.2**	**103.6**	**105.9**		
PPG debt service-to-exports ratio	**14.1**	**17.8**	**5.3**	**17.9**	**14.2**	**12.6**	**11.3**	**12.3**	**11.4**	**10.3**	**7.4**		
PPG debt service-to-revenue ratio	**18.9**	**27.1**	**6.8**	**17.9**	**16.7**	**14.2**	**12.1**	**12.6**	**11.4**	**9.0**	**5.1**		
Gross external financing need (Million of U.S. dollars)	37.5	37.3	150.8	166.1	106.0	107.5	99.9	103.6	100.5	123.6	181.8		
Key macroeconomic assumptions													
Real GDP growth (in percent)	1.5	6.4	4.2	4.2	5.0	5.0	5.0	5.0	4.5	4.0	4.0	**4.1**	**4.6**
GDP deflator in US dollar terms (change in percent)	0.9	6.5	-4.5	10.7	3.6	3.1	3.0	2.4	2.4	2.0	2.0	**1.1**	**3.2**
Effective interest rate (percent) 4/	1.6	1.7	0.4	1.2	1.2	1.0	0.9	1.0	1.1	1.1	1.3	**1.2**	**1.1**
Growth of exports of G&S (US dollar terms, in percent)	-20.2	44.0	-21.1	-8.1	32.3	6.5	4.4	5.1	5.0	4.7	3.0	**8.1**	**6.3**
Growth of imports of G&S (US dollar terms, in percent)	-12.4	17.8	9.7	1.7	5.6	3.4	3.5	4.8	3.8	4.2	3.2	**8.8**	**4.1**
Grant element of new public sector borrowing (in percent)	...	...	...	39.0	38.3	39.7	41.6	44.7	45.8	42.7	40.1	**...**	**42.2**
Government revenues (excluding grants, in percent of GDP)	11.4	12.8	11.8	12.3	12.7	13.0	13.3	13.5	13.6	14.4	15.6	**11.4**	**13.5**
Aid flows (in Million of US dollars) 5/	156.3	156.3	96.5	100.0	112.3	103.1	107.4	119.6	128.9	166.9	281.5		
Grant-equivalent financing (in percent of GDP) 6/	...	...	...	5.1	5.6	4.5	4.0	4.1	4.0	4.0	3.9	**...**	**4.3**
Grant-equivalent financing (in percent of external financing) 6/	...	...	...	75.7	75.7	76.3	82.0	82.8	83.3	82.4	81.7	**...**	**80.9**
Nominal GDP (Million of US dollars)	1,523	1,725	1,718	1,982	2,156	2,335	2,525	2,715	2,905	3,978	7,178		
Nominal dollar GDP growth	2.4	13.3	-0.4	15.4	8.8	8.3	8.1	7.5	7.0	6.1	6.1	**5.2**	**8.0**
Memorandum items:													
PV of external debt 7/	...	...	25.8	22.9	21.8	20.7	19.4	18.1	17.0	12.9	11.4		
In percent of exports	...	...	167.6	186.9	146.3	141.3	137.0	130.7	125.2	103.6	105.9		
Total external debt service-to-exports ratio	14.1	17.8	5.3	17.9	14.2	12.6	11.3	12.3	11.4	10.3	7.4		
PV of PPG external debt (in Million of US dollars)			442.9	453.9	469.9	483.2	488.9	490.2	493.1	514.6	815.4		
(PVt-PVt-1)/GDPt-1 (in percent)				0.6	0.8	0.6	0.2	0.1	0.1	0.2	0.6		
Non-interest current account deficit that stabilizes debt ratio	-2.1	0.6	10.0	11.9	5.3	5.5	5.4	5.0	4.4	3.5	2.8		

Definition of external/domestic debt	Currency-based
Is there a material difference between the two criteria?	Yes





Sources: Country authorities; and staff estimates and projections.

1/ Public sector external debt only. With respect to DSA 2018, coverage expanded to include legacy arrears.

2/ Derived as [r - g - ρ(1+g)]/(1+g+ρ+gρ) times previous period debt ratio, with r = nominal interest rate; g = real GDP growth rate, and ρ = growth rate of GDP deflator in U.S. dollar terms.

3/ Includes exceptional financing (i.e., changes in arrears and debt relief, including IMF CCRT 2020-2022); changes in gross foreign assets; and valuation adjustments. For projections also includes contribution from price and exchange rate changes. The residual is also affected by grants and the financing from treasury securities in the regional market, which are considered domestic debt in the DSA.

4/ Current-year interest payments divided by previous period debt stock.

5/ Defined as grants, concessional loans, and debt relief.

6/ Grant-equivalent financing includes grants provided directly to the government and through new borrowing (difference between the face value and the PV of new debt).

7/ Assumes that PV of private sector debt is equivalent to its face value.

8/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

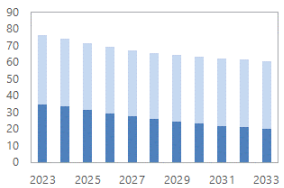
Table 2. Guinea-Bissau: Public Sector Debt Sustainability Framework, Baseline Scenario, 2020–43

(In percent of GDP, unless otherwise indicated)

	Actual			Projections								Average 6/	
	2020	2021	2022	2023	2024	2025	2026	2027	2028	2033	2043	Historical	Projections
Public sector debt 1/	**77.7**	**78.8**	**80.4**	**76.5**	**74.1**	**71.5**	**69.3**	**67.3**	**65.7**	**60.8**	**55.7**	**63.9**	**67.0**
of which: external debt	**41.1**	**40.3**	**39.2**	**34.9**	**33.3**	**31.6**	**29.5**	**27.5**	**25.9**	**20.2**	**17.6**	**34.6**	**26.7**
Change in public sector debt	12.4	1.1	1.6	-3.9	-2.4	-2.5	-2.2	-2.0	-1.6	-0.7	-0.4		
Identified debt-creating flows	**6.8**	**2.9**	**0.8**	**-3.9**	**-2.4**	**-2.5**	**-2.2**	**-2.0**	**-1.6**	**-0.7**	**-0.4**	**0.9**	**-1.8**
Primary deficit	**8.1**	**4.3**	**4.7**	**3.2**	**1.0**	**0.8**	**0.8**	**0.7**	**0.7**	**0.4**	**0.3**	**3.6**	**0.9**
Revenue and grants	15.4	19.1	15.2	16.3	17.2	16.6	16.6	16.9	17.0	17.7	18.9	**16.1**	**17.1**
of which: grants	4.0	6.3	3.4	4.0	4.5	3.6	3.3	3.4	3.4	3.4	3.3		
Primary (noninterest) expenditure	23.5	23.4	19.9	19.5	18.3	17.4	17.4	17.6	17.7	18.2	19.2	**19.7**	**18.0**
Automatic debt dynamics	**-2.1**	**-2.1**	**-4.5**	**-7.1**	**-3.4**	**-3.3**	**-3.0**	**-2.7**	**-2.3**	**-1.1**	**-0.7**		
Contribution from interest rate/growth differential	0.4	-5.7	-6.9	-4.8	-3.2	-3.0	-2.8	-2.6	-2.1	-0.7	-0.4		
of which: contribution from average real interest rate	1.3	-1.0	-3.7	-1.5	0.5	0.6	0.6	0.7	0.8	1.7	1.8		
of which: contribution from real GDP growth	-1.0	-4.7	-3.2	-3.2	-3.6	-3.5	-3.4	-3.3	-2.9	-2.4	-2.2		
Contribution from real exchange rate depreciation	-2.4	3.6	2.3	...	...	...	...	...	...	...	...		
Other identified debt-creating flows	**0.8**	**0.7**	**0.6**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**-0.1**	**0.0**
Privatization receipts (negative)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Recognition of contingent liabilities (e.g., bank recapitalization)	0.8	0.3	0.6	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Debt relief (HIPC and other)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Other debt creating or reducing flow (please specify)	0.0	0.4	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		
Residual	**5.6**	**-1.8**	**0.8**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**0.0**	**2.4**	**-0.2**
Sustainability indicators													
PV of public debt-to-GDP ratio 2/	**...**	**...**	**65.6**	**63.3**	**61.5**	**59.8**	**58.5**	**57.2**	**56.2**	**53.3**	**49.5**		
PV of public debt-to-revenue and grants ratio	**...**	**...**	**430.0**	**387.8**	**356.9**	**360.6**	**352.9**	**338.4**	**330.6**	**300.4**	**262.2**		
Debt service-to-revenue and grants ratio 3/	**58.9**	**67.7**	**49.8**	**55.3**	**46.3**	**48.0**	**58.9**	**70.0**	**87.8**	**53.8**	**45.6**		
Gross financing need 4/	17.9	17.9	12.9	12.2	9.0	8.7	10.6	12.5	15.6	10.0	8.9		
Key macroeconomic and fiscal assumptions													
Real GDP growth (in percent)	1.5	6.4	4.2	4.2	5.0	5.0	5.0	5.0	4.5	4.0	4.0	**4.1**	**4.6**
Average nominal interest rate on external debt (in percent)	1.6	1.6	0.4	1.2	1.2	1.0	0.9	1.0	1.1	1.1	1.3	**1.2**	**1.1**
Average real interest rate on domestic debt (in percent)	4.4	0.2	-3.6	-1.6	2.2	2.3	2.4	2.5	2.6	3.7	4.2	**-0.9**	**2.5**
Real exchange rate depreciation (in percent, + indicates depreciation)	-6.6	9.5	6.5	...	...	...	...	...	...	...	...	**2.0**	**...**
Inflation rate (GDP deflator, in percent)	-1.0	2.7	7.3	7.2	3.1	2.8	2.8	2.8	2.8	2.0	2.0	**3.1**	**2.9**
Growth of real primary spending (deflated by GDP deflator, in percent)	34.6	5.6	-11.0	1.8	-1.5	-0.3	5.1	6.3	4.9	4.4	4.1	**11.3**	**3.8**
Primary deficit that stabilizes the debt-to-GDP ratio 5/	-4.3	3.2	3.1	7.1	3.4	3.3	3.0	2.7	2.3	1.1	0.7	**0.7**	**2.7**
PV of contingent liabilities (not included in public sector debt)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0		

Definition of external/domestic debt	**Currency-based**
Is there a material difference between the two criteria?	**Yes**

Public sector debt 1/



Sources: Country authorities; and staff estimates and projections.

1/ Coverage of debt: The central government, central bank, government-guaranteed debt . Definition of external debt is Currency-based. Includes external legacy arrears.

2/ The underlying PV of external debt-to-GDP ratio under the public DSA differs from the external DSA with the size of differences depending on exchange rates projections.

3/ Debt service is defined as the sum of interest and amortization of medium and long-term, and short-term debt.

4/ Gross financing need is defined as the primary deficit plus debt service plus the stock of short-term debt at the end of the last period and other debt creating/reducing flows.

5/ Defined as a primary deficit minus a change in the public debt-to-GDP ratio ((-): a primary surplus), which would stabilizes the debt ratio only in the year in question.

6/ Historical averages are generally derived over the past 10 years, subject to data availability, whereas projections averages are over the first year of projection and the next 10 years.

Table 3. Guinea-Bissau: Sensitivity Analysis for Key Indicators of Public and Publicly Guaranteed External Debt, 2023–33

(In percent)

	Projections 1/										
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033
PV of debt-to GDP ratio											
Baseline	23	22	21	19	18	17	16	15	14	13	13
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	23	21	19	17	15	14	12	10	9	7	6
B. Bound Tests											
B1. Real GDP growth	23	23	23	21	20	18	17	16	15	15	14
B2. Primary balance	23	22	22	20	19	18	18	17	16	15	15
B3. Exports	23	24	26	24	23	21	20	19	18	18	17
B4. Other flows 3/	23	25	27	25	24	22	21	20	19	18	18
B5. Depreciation	23	27	23	21	20	18	17	16	15	14	14
B6. Combination of B1-B5	23	28	28	27	25	24	23	21	20	19	19
C. Tailored Tests											
C1. Combined contingent liabilities	23	23	22	20	19	19	18	17	16	16	15
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	23	22	21	20	18	17	16	15	13	12	12
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	30	30	30	30	30	30	30	30	30	30	30
PV of debt-to-exports ratio											
Baseline	**187**	**146**	**141**	137	131	125	120	115	111	107	104
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	**187**	**142**	131	122	111	100	90	78	67	57	47
B. Bound Tests											
B1. Real GDP growth	**187**	**146**	**141**	137	131	125	120	115	111	107	104
B2. Primary balance	**187**	**149**	**148**	**144**	138	135	132	128	124	121	120
B3. Exports	**187**	**222**	**266**	**259**	**249**	**240**	**232**	**224**	**217**	**210**	**205**
B4. Other flows 3/	**187**	**169**	**182**	**178**	**171**	**165**	**160**	**155**	**150**	**145**	**142**
B5. Depreciation	**187**	**146**	124	120	113	108	104	99	94	90	87
B6. Combination of B1-B5	**187**	**228**	**175**	**230**	**221**	**213**	**207**	**199**	**193**	**187**	**183**
C. Tailored Tests											
C1. Combined contingent liabilities	**187**	**152**	**149**	**145**	139	137	133	129	125	123	121
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	**187**	**146**	**144**	**140**	133	126	119	112	104	98	93
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	140	140	140	140	140	140	140	140	140	140	140
Debt service-to-exports ratio											
Baseline	**18**	**14**	**13**	**11**	**12**	**11**	**12**	**12**	**11**	**11**	**10**
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	**18**	**15**	**13**	**12**	**13**	**12**	**12**	**13**	**12**	**11**	**11**
B. Bound Tests											
B1. Real GDP growth	**18**	**14**	**13**	**11**	**12**	**11**	**12**	**12**	**11**	**11**	**10**
B2. Primary balance	**18**	**14**	**13**	**11**	**12**	**12**	**12**	**12**	**12**	**11**	**11**
B3. Exports	**18**	**20**	**20**	**18**	**20**	**18**	**19**	**19**	**18**	**17**	**17**
B4. Other flows 3/	**18**	**14**	**13**	**12**	**13**	**12**	**12**	**13**	**12**	**11**	**11**
B5. Depreciation	**18**	**14**	**13**	**11**	**12**	**11**	**11**	**11**	**11**	**10**	10
B6. Combination of B1-B5	**18**	**18**	**18**	**16**	**18**	**16**	**17**	**17**	**16**	**15**	**15**
C. Tailored Tests											
C1. Combined contingent liabilities	**18**	**14**	**13**	**11**	**12**	**12**	**12**	**12**	**12**	**11**	**11**
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	**18**	**14**	**13**	**12**	**13**	**12**	**12**	**12**	**12**	**11**	**11**
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	10	10	10	10	10	10	10	10	10	10	10
Debt service-to-revenue ratio											
Baseline	**18**	**17**	**14**	12	13	11	11	11	10	9	9
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2033 2/	**18**	**17**	**15**	13	13	12	12	12	11	10	10
B. Bound Tests											
B1. Real GDP growth	**18**	**17**	**15**	13	14	12	12	12	11	10	10
B2. Primary balance	**18**	**17**	**14**	12	13	12	11	11	11	10	9
B3. Exports	**18**	**17**	**15**	13	13	12	12	12	11	10	10
B4. Other flows 3/	**18**	**17**	**15**	13	13	12	12	12	11	10	10
B5. Depreciation	**18**	**21**	**18**	**15**	**15**	14	14	14	13	11	11
B6. Combination of B1-B5	**18**	**18**	**17**	**14**	**15**	13	13	13	12	11	10
C. Tailored Tests											
C1. Combined contingent liabilities	**18**	**17**	**14**	12	13	12	11	11	11	10	9
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	**18**	**20**	**17**	**15**	**15**	13	12	12	11	10	9
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Threshold	14	14	14	14	14	14	14	14	14	14	14

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the threshold.
2/ Variables include real GDP growth, GDP deflator (in U.S. dollar terms), non-interest current account in percent of GDP, and non-debt creating flows.
3/ Includes official and private transfers and FDI.

Table 4. Guinea-Bissau: Sensitivity Analysis for Key Indicators of Public Debt, 2023–33

(In percent)

	Projections 1/										
	2023	2024	2025	2026	2027	2028	2029	2030	2031	2032	2033
PV of Debt-to-GDP Ratio											
Baseline	**63**	**62**	**60**	**59**	**57**	**56**	**56**	**55**	**54**	**54**	**53**
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2	**64**	**65**	**66**	**68**	**69**	**70**	**72**	**73**	**74**	**75**	**76**
B. Bound Tests											
B1. Real GDP growth	**64**	**66**	**68**	**67**	**67**	**66**	**67**	**67**	**67**	**67**	**68**
B2. Primary balance	**64**	**67**	**69**	**68**	**66**	**65**	**64**	**63**	**62**	**61**	**61**
B3. Exports	**63**	**64**	**65**	**63**	**62**	**61**	**60**	**59**	**58**	**58**	**57**
B4. Other flows 3/	**63**	**65**	**66**	**64**	**63**	**62**	**61**	**60**	**59**	**59**	**58**
B5. Depreciation	**64**	**65**	**62**	**60**	**57**	**55**	**54**	**52**	**51**	**49**	**48**
B6. Combination of B1-B5	**64**	**64**	**64**	**61**	**60**	**58**	**57**	**56**	**56**	**55**	**54**
C. Tailored Tests											
C1. Combined contingent liabilities	**64**	**72**	**70**	**68**	**67**	**65**	**64**	**63**	**62**	**61**	**61**
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	**64**	**66**	**67**	**69**	**71**	**72**	**73**	**73**	**73**	**73**	**74**
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
TOTAL public debt benchmark	35	35	35	35	35	35	35	35	35	35	35
PV of Debt-to-Revenue Ratio											
Baseline	388	357	361	353	338	331	325	318	311	305	300
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2	394	378	399	407	407	412	416	419	422	425	429
B. Bound Tests											
B1. Real GDP growth	394	377	400	398	387	384	383	380	378	376	376
B2. Primary balance	394	387	418	409	392	382	373	364	356	348	341
B3. Exports	388	370	390	381	365	356	349	342	334	327	322
B4. Other flows 3/	388	376	397	388	371	362	356	348	340	333	328
B5. Depreciation	394	387	381	366	344	330	319	307	295	284	275
B6. Combination of B1-B5	394	377	387	369	353	343	336	327	318	311	306
C. Tailored Tests											
C1. Combined contingent liabilities	394	417	421	411	394	382	374	365	357	348	342
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	394	426	456	469	454	444	433	417	414	411	411
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Debt Service-to-Revenue Ratio											
Baseline	55	46	48	59	70	88	78	66	58	56	54
A. Alternative Scenarios											
A1. Key variables at their historical averages in 2023-2	55	47	52	65	78	104	98	87	81	83	84
B. Bound Tests											
B1. Real GDP growth	55	48	52	65	77	98	90	79	72	70	70
B2. Primary balance	55	46	55	69	75	104	100	77	65	67	68
B3. Exports	55	46	48	60	71	88	79	66	59	56	54
B4. Other flows 3/	55	46	48	60	71	88	79	66	59	56	54
B5. Depreciation	55	46	49	58	69	85	76	65	58	55	53
B6. Combination of B1-B5	55	45	48	63	71	88	86	69	59	56	58
C. Tailored Tests											
C1. Combined contingent liabilities	55	46	63	65	74	119	93	73	64	74	66
C2. Natural disaster	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
C3. Commodity price	55	52	59	75	87	112	104	90	82	81	81
C4. Market Financing	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.

Sources: Country authorities; and staff estimates and projections.
1/ A bold value indicates a breach of the benchmark.
2/ Variables include real GDP growth, GDP deflator and primary deficit in percent of GDP.
3/ Includes official and private transfers and FDI.